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Leveraged Lion Capital

Research Report

August Recap

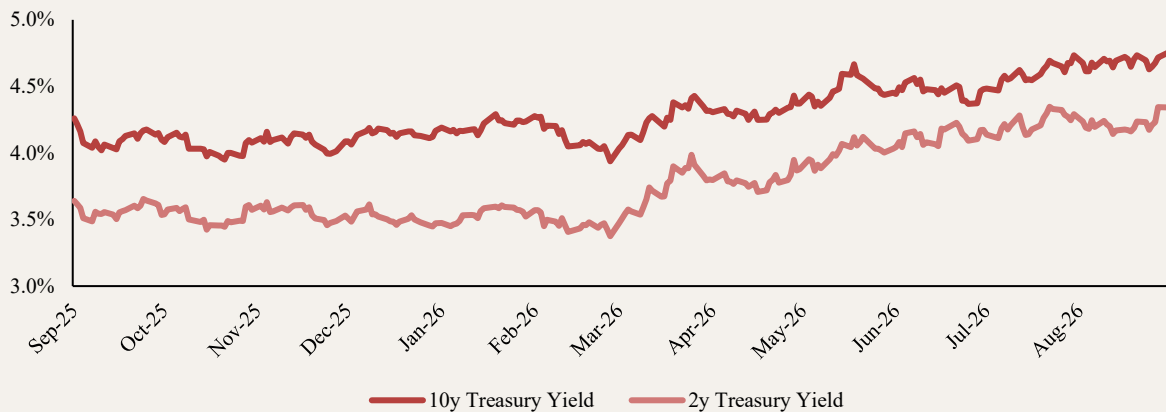
Equity Resilience and Rate Repricing

The month of August was characterized by continued strength in equities on the back of AI-related capex commitments and resilient earnings despite a hawkish Fed turn. The S&P 500 index returned 3% in the month and is up 13.1% YTD. Geopolitical tensions, the hawkish pivot in Fed messaging, and inflation that has stopped improving remain the key overhangs on the market.

Brent Crude oil prices fell over the course of the month before a fresh outbreak of US-Iran strikes on August 31st pushed prices back above \$85/barrel, reflecting the same tensions feeding into inflation. The most recent PCE print came in at 3.7% year over year, with half the basket running above 3%. Because of this, and Fed Chair Warsh's hawkish remarks at the Jackson Hole symposium on August 28th, the market priced the odds of a September hike at above 60%, up from roughly a third before the speech. This was reflected in the 2-year Treasury yield, which rose 12 basis points to 4.4%, its largest one-day jump since March, while the 10-year traded through 4.8%.

Credit spreads ended the month tighter, with the high yield index closing at 260bps, 10 basis points above its 52-week low, after tightening 9 bps on the week despite the hawkish Fed pivot. Dispersion within high yield remains a concern, with CCC spreads at 850bps near 97% of their 52-week range even as BB spreads at 146 bps sit at their tightest point of the year.

10y vs. 2y Treasury Yields (%)



Research Team



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Director



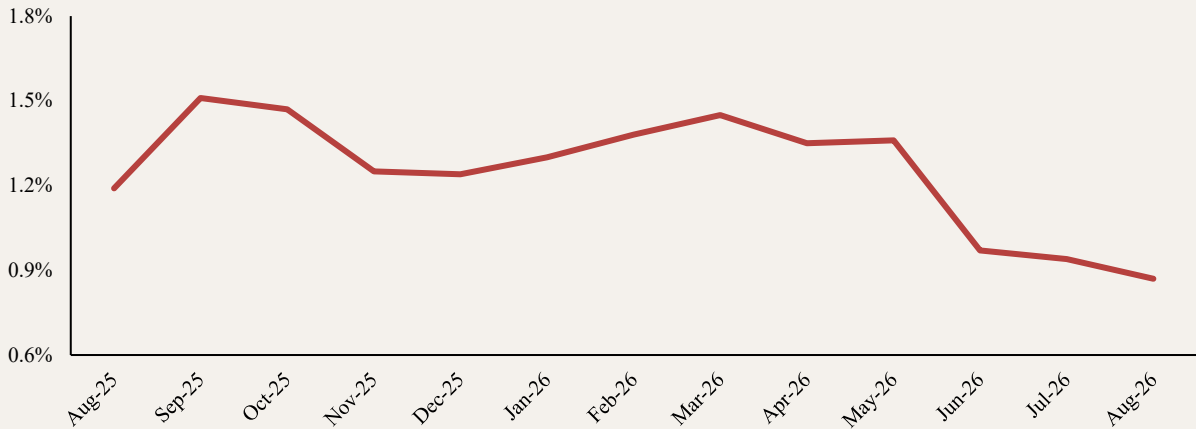
Chris Katehis
Director

Credit Markets

Loan Performance

U.S. leveraged loans continued to rally in August, as the LSTA US Leveraged Loan Index returned 0.9%, one of the strongest months of the past year alongside April's 1.3% print. The Loan 100 Index outperformed, returning roughly 1.2% on the month. The broader index's average bid closed at \$95.6, its highest mark since January. Credit quality continued to improve as the trailing 12-month default rate fell to 0.9% by amount in August, down from 1.2% a year earlier and its lowest level of the past twelve months. The index's rally points to a supply/demand imbalance, as new loan supply has failed to keep pace with steady fund inflows and active CLO issuance throughout the month.

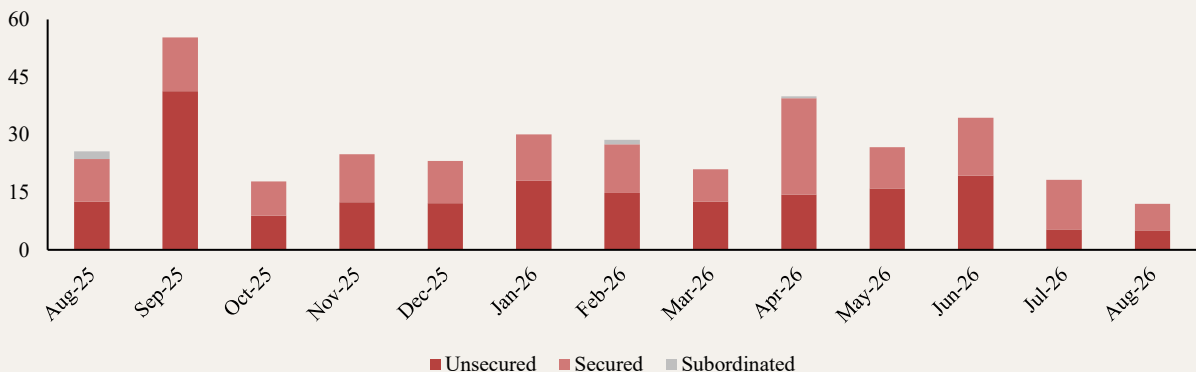
Leveraged Loan Default Rates (%)



Bond Performance

HY credit spreads closed August at 260bps, just 13% into their 52-week range and only 10bps above the 52-week low. From a ratings perspective, BB spreads finished the month at 146 bps and Single-B spreads at 250 bps, both 52-week lows, while CCC spreads sat at 850 bps, 97% of their 52-week range, a split that continues to pull the index in two directions. New issuance told a different story. High-yield bond volume fell to \$12bn in August, its lowest level in over a year and less than half of the \$25.7bn priced a year earlier. Thin supply alongside tight spreads suggests borrowers, not investors, are staying on the sidelines, a function of rising all-in borrowing costs, uncertainty around a September hike, and issuers already using the stronger windows earlier in the year to term out debt.

HY Bond Issuance (\$bn)

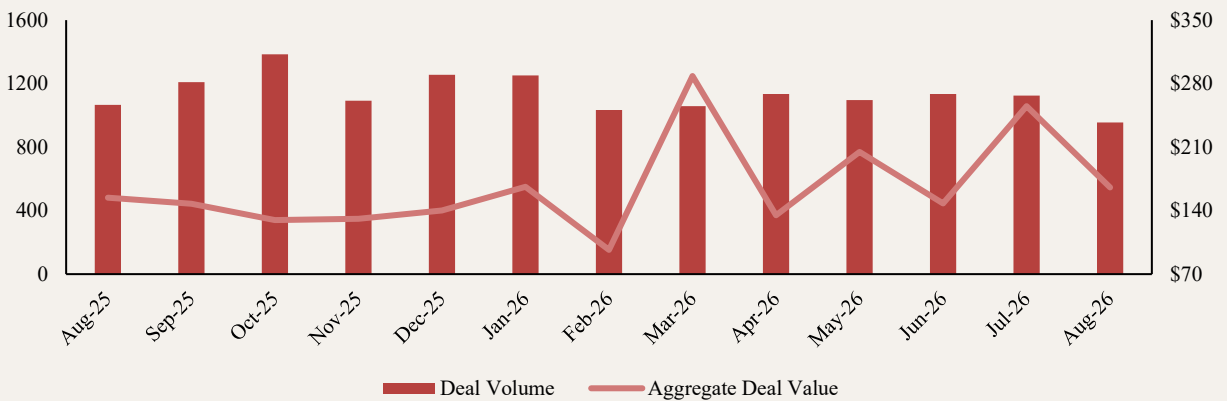


Broader Markets

August M&A Activity

M&A activity remained resilient despite continued rate uncertainty, with several large transactions supporting overall deal value. Aon agreed to acquire USI for \$17bn, while Apollo invested in Atlantic Aviation in a transaction valuing the business at nearly \$10bn. In fintech, Stripe and Advent abandoned their roughly \$53bn pursuit of PayPal after the parties failed to agree on valuation, ending what would have been one of the largest fintech acquisitions ever. U.S. private equity deal value totaled approximately \$461bn in 1H26, down roughly 11% YoY, as overall activity remained selective and increasingly concentrated in larger, high-conviction transactions.

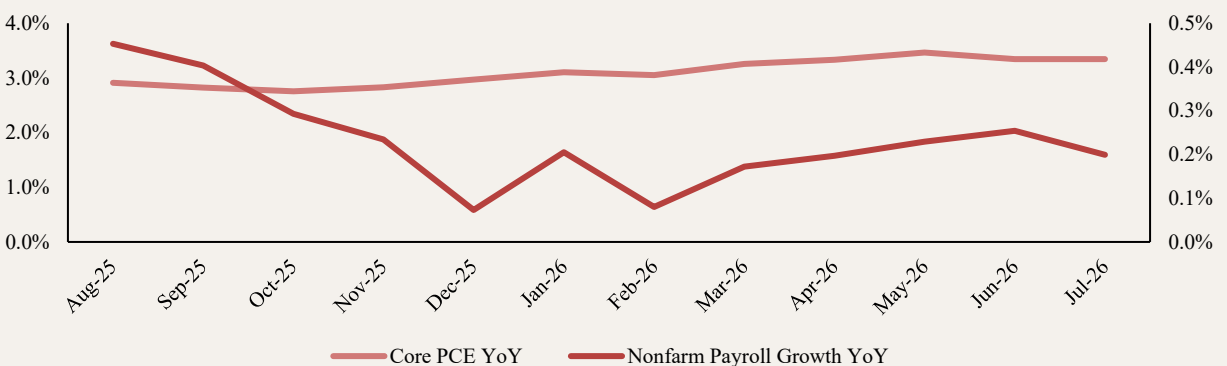
US M&A Deal Volume vs. Deal Value (\$bn)



Macro Trends

The Fed held rates at 3.5%-3.8% for a fifth consecutive meeting in July, though three regional presidents dissented in favor of a hike, the first three-way hawkish dissent since 2016. Payrolls fell 23,000 in July against a consensus near +83,000, with wage growth slowing to 3.2% year over year, the softest since May 2021, and prior months revised down a combined 103,000. That weak data initially fueled rate-cut expectations, but Kevin Warsh's hawkish Jackson Hole remarks on August 28th reversed the narrative, pushing September hike odds above 60% as July CPI held at 3.4% year over year and PCE stood at 3.7%. Brent Crude fell below \$90/barrel before renewed US-Iran strikes on August 31st pushed prices back above \$90, keeping geopolitical risk in the inflation picture.

Steady Inflation vs. Slow Job Growth (%)





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Case Study: Asset Backed Securities

Asset Backed Securities

Overview

An Asset Backed Security (ABS) is a financial security collateralized by an underlying pool of assets, generating cash flows from debt, such as loans, leases, credit card balances or receivables. These assets are typically originated by banks, specialty finance companies, or other lenders and then transferred into a special purpose vehicle (SPV), which issues securities to investors backed by underlying cash flows. Principal and interest payments from borrowers flowing through the capital structure are distributed to investors according to a predetermined payment waterfall. The most senior tranche generally receives payment first, carrying lower credit risk and lower yields, while more junior tranches absorb losses earlier in exchange for higher potential returns. Credit enhancement through subordination, overcollateralization, reserve accounts, and excess spread, protect senior investors from deterioration of underlying collateral. ABS generally consists of pools of consumer or commercial receivables whose performance depends on credit quality, delinquencies, defaults, prepayments, recoveries, and broader economic conditions. The ABS market provides lenders with additional source of funding while giving investors diversified exposure to consumer and commercial credit.

ABS and the Consumer Lending Market

ABS are deeply connected to the consumer lending market, providing an important fundamental funding channel between consumer lenders and institutional investors. The scale of this relationship is significant, with U.S. household debt reaching \$18.8tn as of 2Q26, providing a large underlying pool of loans and receivables that can be securitized. ABS market activity has remained strong in 2026, with YTD issuance through July reaching \$322.9bn, up 5.9% YoY, while the average daily trading volume increased 17.8% YoY to \$2,648.4mm. Non-housing consumer debt remained substantial, including \$1.7tn of auto loans, \$1.3tn of credit card balances, and \$1.7tn of student loans as of 2Q26. At the same time, 4.7% of U.S. household debt was in a stage of delinquency, highlighting the importance of consumer credit quality to ABS investors. Together, these trends show how ABS connects the performance of U.S. households with institutional capital markets, as changes in consumer borrowing and credit performance influence both the supply and performance of securitized assets.

How an Asset Backed Security (ABS) Works

Asset Originator (Lender)	Transfer to SPV	ABS Issuance (Capital Structure)	Investor	Payments Flow
<i>Role: Lender</i> Originates loans or receivables Example Assets - Auto Loans - Credit Card Receivables - Student Loans - Equipment Leases - Other Receivable	<i>Role: Lender</i> Sells assets to a Special Purpose Vehicle (SPV) Legally separates entity that purchases the assets from the lender	<i>Role: Issuer</i> Senior/AAA Lowest Risk Lowest Yield Mezzanine/A-BBB Medium Risk Medium Yield Junior/BB-B Higher Risk Higher Yield Equity/First Loss Highest Risk Highest Yield	<i>Role: Investor</i> Investors purchase ABS Typical Investors - Insurance Companies - Banks - Asset Managers - Hedge Funds - Other Institutional Investors	<i>Role: Cash Flow Manager</i> Borrowers make payments on the underlying assets ↓ Cash flows go to the SPV & are distributed based on waterfall - Senior Tranches - Mezzanine Tranches - Junior Tranche - Equity/Residual

Auto ABS Issuance

Market Activity

U.S. auto ABS issuance remained active through August 2026, with several billion-dollar transactions reaching the market across a wide range of borrower credit profiles. 50.1% of new ABS issuance YTD for 2026 belongs strictly to Auto. August alone included \$2.1bn from Honda, \$1.8bn from BMW, \$1.6bn from Carvana, \$1bn from Exeter, and \$1bn from World Omni, representing \$7.5bn of auto loans across these five transactions. The collateral characteristics demonstrate the breadth of current investor demand, with BMW's pool carrying a 784 WA credit score and 3.4% WA APR, while Honda's pool had a 770 score and 4.9% APR. At the other end of the spectrum Exeter successfully brought a \$1bn transaction backed by borrowers with a WA credit score of 585 and an 18.28% APR, while Carvana's \$1.6bn transaction carried a 702 WA credit score and 10.8% APR. This follows substantial issuance earlier in 2026, including \$2.2bn from Hyundai in June and \$2.4bn from Honda in February. The continued ability of issuers to place billion-dollar transaction across prime, near-prime, and subprime borrower pools shows that auto ABS primary markets remain active even as underlying consumer credit performance becomes increasingly differentiated.

ABS New Issuance Activity 2026 (\$bn)



Subprime Auto Credit Deterioration

Beneath continued strength in auto ABS issuance, collateral performance has increasingly diverged across borrower credit quality, with deterioration concentrated in the non-prime segment, KBRA's Non-Prime U.S. Auto Loan ABS index reported annualized net losses of 9.5% in July 2026, up 40 bps MoM and 61 bps YoY, compared with only 0.7% for prime collateral, which remained unchanged YoY. Non-prime credit migration also continued to weakened with 30–59-day delinquencies increasing 64 bps YoY and more severe 60+ day delinquencies rising 26 bps. Prime borrowers have performed substantially better, with KBRA's prime annualized net loss rate at only 0.7% in July and unchanged from the prior year, creating a loss rate more than 14.0x lower than the non-prime index. Elevated vehicle prices higher borrowing costs, larger monthly payments and pressure on lower-income household budgets have disproportionately affected weaker borrowers. Despite deterioration in the underlying collateral pool, senior auto ABS had remained comparatively resilient as subordination, overcollateralization, excess spread, and deleveraging provide protection against rising collateral loss. The key credit divergence in 2026 is between weakening subprime consumer fundamentals and continued bond-level resilience, with deterioration posing a grater risk to subordinate tranches as structural protection available to those investors is exhausted earlier.

Esoteric ABS

Overview

Esoteric ABS is a subset backed by less traditional collateral that aims for higher yields than comparably rated corporate debt instruments and other structured securities. Things like data center leases, aircraft/engine leases, whole business securitization, fiber/cell towers fall under this category. In 2024, esoteric ABS made up more than 30% of the record \$338bn of ABS issuance. Growth in 2026 continues to be led by data center ABS, where outstanding issuance has surged from \$4bn in 2020 to \$61bn YTD in 2026, making up roughly 12% of the esoteric market. Esoteric ABS is more important than ever with the buildout of AI and data center infrastructure and diversification away from consumer credit exposure at a time when subprime consumer performance is deteriorating.

2026 Market Growth

S&P's 3Q26 roundup, stated there's currently \$210.9bn of outstanding esoteric ABS across 18 subsectors, with \$18.8bn in new issuances. 2Q26 issuance slowed amid Middle East-driven volatility before rebounding. S&P expects full year volume to rise slightly versus recent years' pace. The market keeps broadening into new collateral types, with S&P rating it's first-ever Bitcoin-backed loan securitization and a new music royalty deal in 2026, while credit quality has diverged by sector.

Data Center Growth

Data centers have emerged as one of the fastest-growing areas of esoteric ABS, driven by AI adoption, cloud migration, and the capital required to build digital infrastructure. S&P Global Ratings rated \$9.3bn of data center issuance in 2025, up from \$3.9bn in 2024, with YTD issuance through July 6 already at \$3.3bn. Operators increasingly use securitization to finance stabilized facilities and contracted lease cash flows, with investor demand continuing to support the sector.

Aircraft Leases

Aircraft remains one of the strongest esoteric sectors in 2026, with \$3.9bn outstanding across 16 deals and 11 upgrades, 0 downgrades YTD, reflecting high utilization and resilient asset values. Industry-wide issuance is projected at \$10-15bn for 2026, topping pre-pandemic records, driven by a global aircraft/engine shortage through 2030. Structures have weathered since COVID-era groundings, rising rates, and Middle East conflict with limited portfolio impact.

Esoteric Data Center Issuances (\$bn)

